Late student loan payments are reported to the credit-reporting bureaus just like late credit card, mortgage, or car payments. This information may stay on your credit history for up to seven years, unless you rehabilitate your loan.

To request a deferment or forbearance, you have to complete an application available from your lender. Some lenders provide these online. Within thirty days of submitting your application, you'll be notified in writing whether or not your deferment or forbearance was approved.

Repayment Options

If you're trying to minimize your monthly payment, try to balance your immediate need for lower payments with your long-term financial goals, which include paying off debt at the lowest reasonable cost. Review the status of your student loans annually to see if you're taking advantage of all the benefits offered by lenders and if the plan you're in still suits your changing financial situation. Just because the terms of your student loans include a particular repayment plan doesn't mean you're stuck with it; if it isn't working for you, you can apply for a change (you can even do it online). There are several options available:

- Standard repayment: You pay the same amount each month over ten years or less, which results in lower interest costs than most other options, except prepayment.
- Graduated repayment: You repay the loan over the same period but the payments are smaller in the early years and significantly larger in the later years. Because the lower payments include mostly interest and you don't pay the balance as quickly, you'll pay more interest.
- Income-sensitive or income-contingent repayment: If you're eligible for these options, your payments can be based on a fixed percentage of your gross income each month. The percentage is between 4 and 25 percent and your payments are made over fifteen years with the income-sensitive repayment plan and twenty-five years with the income-contingent repayment plan. You have to reapply every year.